

Diversify

PRACTICE WORKSHEET · BEGINNER · GROWTH CAPITAL ACADEMY

Grab a pen and check how concentrated your own investments really are. There's no wrong answer here — the goal is just to build a feel for your own diversification.

Section 1 — Your Current Mix

Total amount you currently have invested: \$ _____

Your single largest individual holding (name it): _____

Amount invested in that single largest holding: \$ _____

Roughly how many different companies/funds do you currently hold across your whole portfolio?

Section 2 — Do the Maths

Work out what share of your portfolio is tied up in your single largest holding:

% in largest holding = (Amount in largest holding ÷ Total invested) × 100

Your % in your single largest holding: _____ %

If that holding dropped to zero, amount you'd lose (\$ = % × total invested):

\$ _____

Is your % above or below the common 10% single-stock guideline? _____

Tip: if the maths feels fiddly by hand, use the interactive Concentration Risk Simulator on the Diversify lesson page at growthcapitalacademy.com to check your answer.

Section 3 — Reflection

Is any single company, sector, or asset class making up an unusually large share of your investments?

What's one small step you could take this month to spread your money across a few more investments?

What's stopping you from diversifying further, and how could you address it?
